

Busted occurrence. I counted the types of busts (single, double, and more than two) and found most were single busts, as one might expect.

Busted and non-busted performance. I used horn *tops* as the proxy for a horn bottom with a downward breakout. The decline after a busted horn isn't spectacular enough to consider, I think. However, in bull markets, single busted patterns perform best.

Trading Tactics

[Table 43.10](#) shows trading tactics.

Measure rule, targets. Compute the horn height by subtracting the lowest low from the highest high. Add the difference to the highest high to get the target price.

The lower portion of the table shows how often the measure rule works. Because the horn can be a short pattern, it is comparatively easy for price to rise far enough to reach the target. Nothing is guaranteed, of course, and your situation will vary.

Once you have a target in mind, take the distance from the target and divide it by the current price. Take the result and use [Table 43.3](#) to check how many horns will fail to rise to the target. For example, say the horn's target is \$1 away in a \$10 stock. That's a rise of 10%. [Table 43.3](#) says that 18% of horns will fail to see price rise more than 10%. That sounds like a reasonable target to me (82% of trades should see price reach the target in bull markets).

Identify. Perhaps the most important key to horn bottoms is that they should continue to look like horns (see “Clear visibility” in [Table 43.1](#)). Price should climb after the twin horn spikes. You'll likely need to wait an extra week to prove this is true.

Uptrends. Separate the price trend leading to the horn into either an uptrend or downtrend. Horns that appear late in uptrends may mark the end of the upward price move. Price continues moving higher (perhaps by 10% or so) and then stops. Of course, if your horn appears at the start of an uptrend, then the stock might well be on its way to a large gain.